



United States
Attorney's Office
District of Massachusetts



Director of Mobile Medical Diagnostics Company Agrees to Plead Guilty to Kickback Scheme

Tuesday, May 20, 2025

For Immediate Release

U.S. Attorney's Office, District of
Massachusetts

Scheme allegedly resulted in approximately \$70.6 million in fraudulent bills to Medicare

BOSTON – A New York-based director of operations and sales for the Northeast region of a mobile medical diagnostics company has been charged and has agreed to plead guilty to conspiring to provide kickbacks to doctors in exchange for ordering medically unnecessary brain scans.

James Rausch, 57, of Port Jefferson Station, N.Y., has been charged with one count of conspiracy to violate the anti-kickback statute. A plea hearing has not yet been scheduled by the Court.

According to the charging documents, from approximately March 2015 through September 2020, Rausch conspired with others, including two managers for a mobile medical diagnostics company that performed transcranial doppler (TCD) scans, to enter into kickback agreements with various doctors. TCD scans are brain scans that measure blood flow in parts of the brain. It is alleged that Rausch and his co-conspirators agreed to offer and pay doctors kickbacks, some in cash and others by check, based on the number of TCD ultrasounds the doctors ordered. Rausch and his co-conspirators allegedly created purported rental and administrative service agreements that, on paper, made it appear as if the doctors' practices were compensated for the TCD company's use of space as well as for administrative costs associated with processing each order – based on fair market value, not based on the volume or value of referrals. It is alleged that these agreements were shams that hid the true nature of the payment arrangement for each test.

It is alleged that the scheme as a whole resulted in fraudulent bills of approximately \$70.6 million to Medicare. Medicare paid approximately \$27.2 million to the TCD company for the fraudulent claims.

The charge of conspiracy to violate the Anti-Kickback Statute provides for a sentence of up to five years in prison, three years of supervised release and a fine of up to \$250,000. Sentences are imposed by a federal district court judge based upon the U.S. Sentencing Guidelines and statutes which govern the determination of a sentence in a criminal case.

United States Attorney Leah B. Foley; Roberto Coviello, Special Agent in Charge of the U.S. Department of Health and Human Services, Office of Inspector General; Kimberly Milka, Acting Special Agent in Charge of the Federal Bureau of Investigation, Boston Division; Thomas Demeo, Acting Special Agent in Charge of the Internal Revenue Service’s Criminal Investigation, Boston Field Office; Kelly M. Lawson, Acting Regional Director of the U.S. Department of Labor, Employee Benefits Security Administration, Boston Regional Office; Ketty Larco-Ward, Inspector in Charge of the U.S. Postal Inspection Service, Boston Division; and Christopher Algieri, Special Agent in Charge of the U.S. Department of Veterans Affairs Office of Inspector General, Northeast Field Office made the announcement. Assistant U.S. Attorneys Howard Locker and Mackenzie Queenin of the Health Care Fraud Unit are prosecuting the case.

The details contained in the charging documents are allegations. The defendant is presumed innocent unless and until proven guilty beyond a reasonable doubt in a court of law.

Updated May 20, 2025

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